STREAMING WARS: SHOULD NETFLIX GO FREEMIUM?

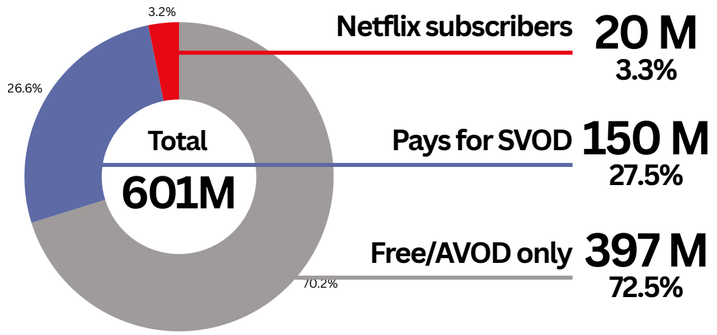
CASE GUILD APPLICATION

ARNAV SAMAHITH

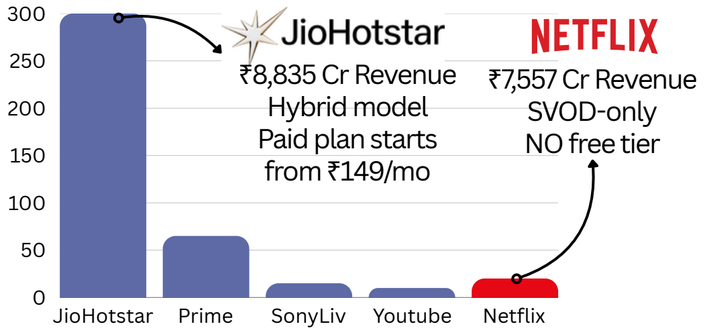
DIVING INTO NETFLIX INDIA'S OTT PRESENCE

Market structure · competitive landscape · audience breakdown · where Netflix is losing · 3 proposed solutions

Competetive Landscape - Where Netflix Stands



Paid subscribers across different platforms

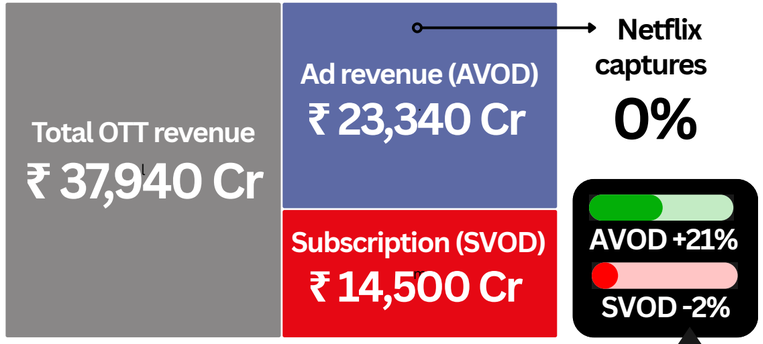


Netflix has 6.7% of JioHotstar's subscribers, yet earns 85% of JioHotstar's India revenue.

Netflix's ARPU is 12.8× higher, owning the premium segment but no product for bulk.

OTT CAGR: 16% to 2029, expanding in AVOD

Indian OTT Universe



ANALYZING POTENTIAL PERSONAS - WHO NETFLIX IS MISSING



Adi, 24
IT professional, Pune
Non-metro
AVOD user

"I'd happily watch some ads if Netflix gave me free access to their shows. I just can't justify paying for another OTT app."



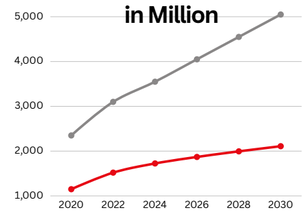
Priya, 34
homemaker, Coimbatore
Regional content
Tier-2 City

"If Netflix had good Tamil shows, I'd watch. Why would I pay for something in Hindi when everything I like is on Sun TV for free?"

WHERE IS NETFLIX GOING WRONG?

1. **Wrong price point**
   ₹149/mo mobile plan, cheapest in market, yet 76% of India's OTT users pay nothing at all
2. **No free-tier presence**
   Netflix has zero product for 397M AVOD users, the only growing segment (+21% YoY)
3. **Thin regional content**
   50%+ of India's OTT consumption is regional language, Netflix's slate is heavily Hindi-skewed
4. **High cost, low scale**
   $2B+ spent 2021–24 for 20M subs. JioHotstar hit 300M+ paid subs in under 5 months

SEGMENT GROWTH (yOy)





90% OTT consumption on smartphones

60% Traffic from tier-2 and tier-3 citites



Launch AVOD (free ad-supported tier)

- Gated free access for catalogue titles only, no new releases
- Ad infra already built globally - 70M+ users on ad tier in 12 countries

Feasibility
Brand Risk

Expand regional content

- Priority: Tamil, Telugu, Kannada, Marathi - 50%+ of OTT consumption
- ₹640–1,280 Cr effective outlay within existing ~ ₹2,000 Cr budget

Feasibility
Impact Time

Revise pricing plans

- Free → Mobile ₹99 → Standard ₹249 → Premium ₹449/mo
- Annual plans reduce churn, improve LTV

Feasibility
ARPU risk

Netflix owns India's premium segment (12.8× ARPU than JioHotstar) but has no product for the 397M free users in the only growing segment (+21% YoY), leaving ₹23,340 Cr of ad revenue entirely.

SHIFT FROM SVOD-ONLY TO HYBRID, AVOD LAUNCH

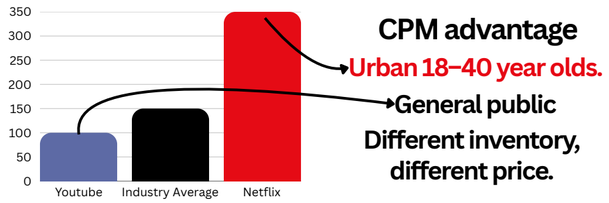
AVOD revenue funnel · revised pricing tiers · regional content budget · Key risks & mitigation

Solution 01 - MOST FEASIBLE
Launch AVOD (free ad-supported tier)

Revenue funnel (year 1 projection)

397M free OTT users	Ad revenue ₹0 (no users)
▼ **15% try Netflix AVOD**	
~60M AVOD users	Ad revenue **~₹756 Cr**
▼ **8% convert to paid**	
4.8M new paid subs	Sub revenue **~₹383 Cr**
▼ **3% convert to free**	
600K users switch	Revenue lost **₹226 Cr**

Total Revenue in 1 year: ₹913 Cr



CPM advantage

Urban 18–40 year olds.

General public

Different inventory, different price.

Strategic trade-offs to flag

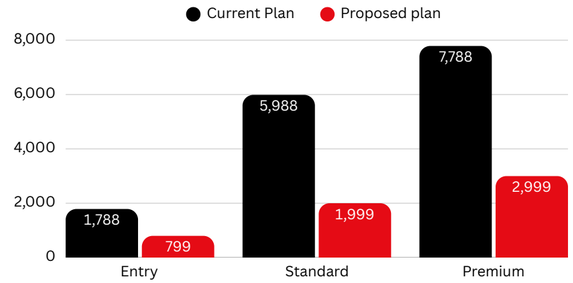
1. **Blended ARPU falls - but total revenue rises**
2. **Content rights gap - launch originals-only**
3. **Ad infra build cost - ~₹150Cr one-time**

Solution 02
Revise pricing plans

India pays in lump sums, not monthly
Jio ₹299 prepaid = recharged every 84 days. Monthly OTT = 12 churn decisions/year. Annual plan = 1.



Annual cost: current vs proposed



TIER	MONTHLY	YEARLY	SAVINGS
Free · ads	**₹0**	**₹0**	
Mobile · 1 screen · ads	**₹99**	**₹799**	**33%**
Standard · 2 screens · HD	**₹249**	**₹1,999**	**33%**
Premium · 4K · 4 screens	**₹449**	**₹2,999**	**44%**



A freemium that protects brand

Never say "remove ads, upgrade."
Say **"watch it the moment it drops."**

Call it "**Netflix Free**", a distinct entry product, not a stripped version.

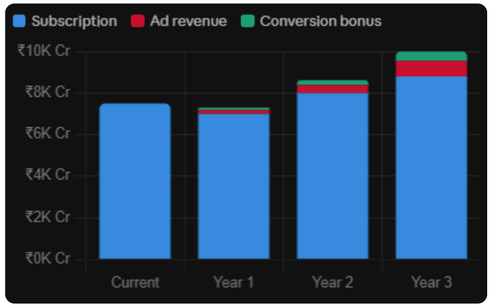
Only premium ad formats: mid-rolls, no banners, no pre-rolls on premium titles.

12 countries where Netflix already runs ad tier · brand

Spotify parallel:
Free tier made Spotify bigger.
248M users, **46%** converted

Current revenue ₹7,557 Cr ▶ **Projected uplift +₹1,522 Cr** @ **82M** users

Revenue shift



Key risks & Mitigation

High — **Paid users trade down to free**
Mitigation: 90-day window + heavy ad load (5 min/hr) + no TV casting on free tier.

High — **Ad CPM too low to cover revenue loss**
Mitigation: Target premium brand advertisers at ₹300–₹400 CPM. Commands 3-5 xYouTube's CPM.

Med — **Free users engage but never convert**
Mitigation: Sequel seasons always paid. Time new original drops to coincide with free-tier users finishing S1.

Solution 03
Increase regional content

53 K Nerflix hours **vs** **320 K** Hotsar hours

Netflix barely reaches 135M users (Tamil + Telugu alone)

50% OTT content consumed is in regional language

AVOD opens the door (₹1,139 Cr yr 1), annual plans lock in LTV, and regional content captures the 80 M users Netflix can't currently reach.

APPENDIX

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